

work in short sprints across functions and time zones, much context about individual contributions is lost by the time annual reviews occur. Early ideas, brief but critical problem-solving, and cross-functional coordination often go uncredited, leaving managers with a partial and outdated performance picture. This gap between the reality of work and what gets evaluated explains why once-a-year conversations struggle to mirror how performance unfolds. Ongoing recognition plays a critical role in evolution. Small, timely signals of appreciation or course correction help employees understand where they stand and how they can improve.

As organisations move away from rigid, one-size-fits-all models, best-in-class companies are sharpening differentiation, strengthening manager capability, and embedding continuous feedback, says Roopank Chaudhary, Partner – Talent Solutions at Aon India.

“Over the past few years, companies have experimented with different performance models—refining rating scales, strengthening the link between performance and rewards, and investing in manager capability,” he notes. According to Chaudhary, organisations that see sustained results strongly link performance outcomes to rewards, with top performers receiving nearly 1.7 times higher fixed pay increases. They assess not just what employees deliver but how they deliver it, embed real-time feedback to build self-awareness, and prioritise robust talent reviews with targeted development inputs.

DECOUPLING PAY FROM PERFORMANCE

Partha Neog points out that India presents a unique challenge as hierarchical norms and rating-linked rewards remain deeply embedded in the workplace.

In many organisations, the an-



“The bell curve was designed to optimise control... Today’s work is cross-functional and interdependent, and success depends on collaboration and knowledge-sharing”

ARPIT SHELAT

HR DIRECTOR, GENESYS INDIA



“The breakdown of traditional reviews is no longer subtle. Employees now express frustration and appreciation through pulse surveys, engagement tools”

PARTHA NEOG

CEO & CO-FOUNDER,
VANTAGE CIRCLE

nual review is still the moment when employees learn about their growth prospects, their standing within the team, and how these assessments translate into pay. Shifting away from this model, he notes, cannot be done by abruptly

changing it without eroding trust and requires careful design.

According to Neog, three credible levers are currently being tested to make this transition both fair and believable. The first is separating timing and intent, second is transparency in the criteria, and the third is technology-assisted calibration.

PERFORMANCE RESET

Modernising performance is still largely treated as a tooling decision, which undermines performance transformation efforts.

While technology plays an important role—without it, feedback signals remain fragmented and invisible—tools alone do not upgrade performance culture. The real friction, Neog argues, sits at the manager layer, where expectations, incentives, and coaching capability ultimately determine whether any new performance model works.

Organisations, then, should invest heavily in systems but underinvest in equipping managers to set meaningful goals, give developmental feedback, and run high-quality performance conversations. Without that capability, even well-designed reforms stall quickly.

Neog adds that in large, complex Indian organisations—where big-bang transformations are common—piloting new models with smaller cohorts, measuring outcomes, and refining based on feedback is often more effective. Iteration reduces risk, allows learning in real time, and enables smoother scaling without overwhelming culture or managers.

The real reset, then, is about a deeper choice: whether performance systems exist to enforce control—or to build capability, trust, and long-term organisational strength. **BT**